166) You are the accountant for Georgia Company and you have recently received the bank statement for your company's account and need to reconcile it with your general ledger cash account. Georgia's records show an ending balance for the month of $25,444.80 while the bank's records show an ending balance of $24,734.32. The bank charged $16 in service fees and paid $52.10 in interest.

All but three checks written during the month were processed by the bank without incident during the month. The three exceptions were:

Check #841 was correctly processed by the bank as $1,962.54 but was mistakenly recorded by you as $1,562.54.
Check #853 for $129.14 had not yet been processed by the bank.
Check #855 for $1,366.92 had not yet been processed by the bank.

All but two of the deposits made during the month were processed by the bank without incident. The two exceptions were:

A customer check for $615.90, which had been deposited during the month, was returned NSF.
A deposit totaling $1,226.74 had not yet been processed by the bank.

Required:

Using the information provided above, prepare a bank reconciliation. **(Round your answers to 2 decimal places.)**

Answer:

Updates to Bank Statement		Updates to Company's Books	
Ending cash balance per bank statement	$24,734.32	Ending cash balance per books	$25,444.80
		Additions	
Additions		Interest received from bank	52.10
Deposit in transit			25,496.90
	1,226.74		
	25,961.06	Deductions	
Deductions		NSF check	615.90
Outstanding check #853	129.14	Bank service charges	16.00
Outstanding check #855		Error correction	
	1,366.92		400.00
Up-to-date ending cash balance	$24,465.00	Up-to-date ending cash balance	$24,465.00

Difficulty: 2 Medium
Topic: Bank Reconciliation
Learning Objective: 05-04 Perform the key control of reconciling cash to bank statements.
Bloom's: Apply
AACSB: Analytical Thinking

2025. Further circulation disallowed.

170) Cottage Co. deposits all cash receipts on the day when they are received and it makes all cash payments by check. At the close of business on December 31, its Cash account shows a debit balance of $36,606. The company's bank statement as of December 31 shows an ending cash balance of $31,842. The following information was also available.

Outstanding checks as of December 31 total $4,522.
Included with the bank statement was a debit memo in the amount of $70 for service charges.
Check No. 2519, listed with the canceled checks, was correctly drawn for $805 in payment of a utility bill on December 16. The company mistakenly recorded it with a debit to Utilities Expense and a credit to Cash in the amount of $895.
The December 31 cash receipts of $6,850 were placed in the bank's night depository after banking hours and were not recorded on the December 31 bank statement.
The bank deducted $2,456 for an NSF check from a customer deposited on December 10.

Required:

Prepare the bank reconciliation as of December 31.

Answer:

Cottage Co.
Bank Reconciliation
At December 31

Updates to Bank Statement		Updates to Company's Books	
Ending cash balance per bank statement	$31,842	Ending cash balance per books	$36,606
Additions		Additions	
Deposit in transit	6,850	Error correction	90
	38,692		36,696
Deductions		Deductions	
Outstanding checks	4,522	NSF check	2,456
		Bank service charges	70
Up-to-date ending cash balance	$34,170	Up-to-date ending cash balance	$34,170

Difficulty: 2 Medium
Topic: Bank Reconciliation
Learning Objective: 05-04 Perform the key control of reconciling cash to bank statements.
Bloom's: Apply
AACSB: Analytical Thinking

2025. Further circulation disallowed.

172) On April 1, a company established a petty cash fund of $1,000.

Required:

Prepare the journal entry, if any, required on April 1. **(If no entry is required for a transaction/event, select "No journal entry required" in the first account field.)**

Answer:

April 1	Petty Cash	1,000	
	Cash		1,000

Difficulty: 1 Easy
Topic: Petty Cash Systems
Learning Objective: 05-S1 Describe the operations of petty cash systems.
Bloom's: Apply
AACSB: Analytical Thinking; Communication

173) A petty cash fund was originally established with a check for $180. On December 31, the petty cash fund was replenished when there was $5.10 remaining and there were petty cash receipts for postage, $52.20; supplies, $62.22; and equipment repair, $58.80.

Required:

Prepare the journal entry, if any, required, to record the replenishment of the petty cash fund on December 31. **(If no entry is required for a transaction/event, select "No Journal Entry Required" in the first account field. Round your final answer to two decimal places.)**

Answer:

Dec. 31	Office Expenses	52.20	
	Supplies	62.22	
	Repairs and Maintenance Expense	58.80	
	Cash Shortage	1.68	
	Cash		174.90

Difficulty: 2 Medium
Topic: Petty Cash Systems
Learning Objective: 05-S1 Describe the operations of petty cash systems.
Bloom's: Apply
AACSB: Analytical Thinking; Communication

2025. Further circulation disallowed.

174) On September 1, a company established a petty cash fund of $200. On September 10, the petty cash fund was replenished when there was $32 remaining and there were petty cash receipts for supplies, $54, and postage, $108. On September 15, the petty cash fund was increased to $250.

Required:

Prepare the journal entries, if any, required on September 1, September 10, and September 15. **(If no entry is required for a transaction/event, select "No Journal Entry Required" in the first account field.)**

Answer:

Sept.1	Petty Cash (A+)	200	
	Cash (A-)		200
Sept.10	Supplies (E+)	54	
	Office Expenses (E+)	108	
	Cash Shortage (E+)	6	
	Cash(A-)		168
Sept.15	Petty Cash (A+)	50	
	Cash (A-)		50

Difficulty: 3 Hard
Topic: Petty Cash Systems
Learning Objective: 05-S1 Describe the operations of petty cash systems.
Bloom's: Apply
AACSB: Analytical Thinking; Communication

2025. Further circulation disallowed.